

achieved from high levels of government spending, which is dependent on the Petroleum Fund.¹⁵

Timor-Leste is still finding the balance between spending on infrastructure and avoiding the Dutch disease. I met the Finance Minister, Emilia Pires, and other Timorese delegates in Sydney. She is an unassuming woman of quiet determination and is the first Timorese to graduate from an Australian University. Like many civil servants, she studied abroad when her country was in turmoil, and returned to rebuild it. “Right now,” Pires says, “if you don’t invest in the people, what future have we got? There’s not enough schooling, or quality of schooling. We are suffering from dengue, malaria, you name it. Should we take more? Of course, logically we have to; otherwise where is the future generation? For me, it’s just irrational to think otherwise.”¹⁶ It is amazing that the country can have this conversation while respecting the overall purpose of the SWF and not spend everything immediately. Timor-Leste has money to spend precisely because it carefully set up its SWF to ensure legitimacy.

2.5. AGENCY ISSUES

A SWF can only exist in the long run if it has public support. Legitimacy does not mean preservation of capital, but preserving capital may play a part in conferring legitimacy on the management of the SWF—especially at a SWF’s inception. Timor-Leste, as befits a new country finding its way, has so far managed the Petroleum Fund conservatively. At the start, it invested almost all of it in United States and other reserve currency bonds, but Timor-Leste is moving into riskier assets. In October 2010, the government allowed 4% of the fund to be invested in global equities. In 2012, the fund’s equity mandate was increased to a maximum of 20%. In slowly enlarging its portfolio to include riskier assets, it is following its bigger cousin Norway. Now known for its sophistication, Norway started out 100% bonds, and then, only after long public debate, moved its portfolio first 40% and then 60% into equities (1998 and 2007, respectively), and only in 2011 made its first real estate investments (with a modest 5% limit). The Norwegian SWF moved into riskier assets only after it established trust with its citizens and proved it could successfully steward the funds.

To its credit, Timor-Leste recognized it did not have expertise to manage a SWF. But rather than just outsource the job, Timor-Leste made sure its own citizens were getting trained—the fund sends its own portfolio managers to the money centers in Europe and America to trade alongside some of its appointed external managers. Singapore and Korea have also partly managed their SWFs with an eye

¹⁵ Asian Development Bank, *Asian Development Outlook 2010: Democratic Republic of Timor-Leste*.

¹⁶ Quoted by Wright, C., “East Timor: The World’s Most Important Sovereign Wealth Fund?” *Euromoney*, September 2008.